INTRODUCTION TO FINANCIAL LITERACY

STOP TALKING, ACT ON YOUR FINANCES

behaviors, knowledge, skills and attitudes

Economic problem

- Scarce resources and unlimited wants
- Common goal for most people – economic security for themselves, their families and future generation
- Money is little “money is never enough” creating hopelessness
- What matters in monetary terms? The budget (financial plans), expenditure, saving, borrowing, investment, insurance, pensions, modernity of money matters, service providers
- There is lack of knowledge, skills and confidence to do the above
- Thus the need for financial literacy

What is financial literacy?

- The term **“Financial Literacy”** is defined as having the knowledge, skills and confidence to manage one's finances well, taking into account one's economic and social circumstances, where:
- **“Knowledge”** means having an understanding of personal financial issues;
- **“Skills”** means being able to apply that knowledge to manage one’s personal finances; and
- **“Confidence”** means feeling sufficiently self-assured to make decisions relating to one’s personal finances. No regretting.

Basic terms

- Personal financial management – one’s income & expenditure
- Budgeting – plan and use money wisely
- Savings – money set aside for future use
- Debt management – use of someone else money
- Investment – grow your money for the future
- Pension – planning for retirement i.e. old age life
- Insurance – protection against unforeseen events
- Financial service providers – where to get money & kinds

Outcome of the lesson

- By the end of the learning session, participants will have:
  - Defined Financial Literacy
  - Described and understood why financial literacy is important
  - Built confidence and trust through behaviour change in financial literacy
- Financial Literacy as the set of knowledge, skills, and attitudes that allows individuals to manage their personal finances effectively **and change from current behaviour to desired behaviour.**
- Financial Literacy is a set of skills and knowledge that allows you to understand:
  - The principles you need to know to make **informed financial decisions**,
  - The financial products that impact your **financial wellbeing**

Importance of financial literacy

- Explain five reasons why everyone in the world require financial literacy

Importance of financial literacy

- Keep proper financial records for prudent management of income & expenses
- Access financial services e.g. loan to grow your business
- Informed financial decisions e.g. buying a house, education, marrying
- Responsive to economic shocks like inflation, unemployment, recession
- Understand financial products like bank account, basic investment in stocks or bonds or mutual funds, retirement saving plans
- Prepare for unforeseen circumstances like sickness
- Minimize social problems like stress, relationship strain, unhealthy coping behaviours and divorce which reduce our productivity
- Cope up with financial emergencies like COVID 19

To be financially literate

- Being financially literate means that you understand the basic personal financial management principles:
  - You understand concepts of money and how to manage it wisely.
  - You learn basic skills related to earning, spending, budgeting, saving, borrowing and investing.
  - You become more informed financial decision-makers; you can plan for and realize you economic goals.
  - You understand why it is important to save money

Trust and Confidence to promote desired behavior

- The outcome of financial literacy involves a change from the current behaviour to a desired behaviour.

Problem	Current Behavior (Current)	Desired Behavior (Future)
Saving	Do not understand the importance and use of savings	Appreciate and practice saving in a secure place
Debt	Can not understand the loan terms and conditions	Can take an offer of a service when they know the terms and conditions
Awareness	Lack understanding of their rights and responsibilities	Not easy to manipulate as they understand their rights & responsibilities
Investment	Consumes all the money he has	Invests responsively and enjoys the benefits

Conclusion

- Financial literacy is all about personal financial management. It involves building of **knowledge, skills,** and **confidence** that influence change from current to desired behaviour of individuals.
- Remember these:
    - Money and emotions
    - The rich also cry
    - There is life after graduation
    - Time is not on our side
    - When are you starting to save?